CASCADIA ANALYTICS

INVESTMENT SCORECARD

PANW

Palo Alto Networks, Inc. (NASDAQ)

As-of: 23-Oct-2026 | Latest Filing: 10-K FY2026 | Currency: USD

$380.79 [Mkt 23-Oct-26]

Market Cap: $313.1B [Mkt 23-Oct-26]

Attractiveness Score



Confidence: **High** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 82

Elite 70% gross margins and a 38.4% reported adjusted FCF margin with a net-cash balance sheet. NGS ARR growing 63% confirms the software transition. GAAP operating margin was 6.1% in FY26, held down by stock compensation of $1.77B (15.5% of revenue) and CyberArk acquisition amortization. Our rebuilt DCF bridge starts from that GAAP base and adds stock compensation back on its own line; on that build the cash generation is strong but the current price already pays for it.

2. Recent Trend — 78

Four consecutive earnings beats. Revenue compounded from $5.5B (FY22) to $11.5B (FY26) with no deceleration. RPO up 34% provides forward visibility. FCF margin expanded to 38.4%.

3. Forward Growth — 80

FY27 guidance calls for 23-24% revenue growth and 22-23% NGS ARR growth, credible given the RPO backlog and beat track record. Platformization, GenAI security, and vendor consolidation are structural multi-year drivers. We state the tension with our own model openly: the FY27 guide annualizes CyberArk, which closed in February 2026 and contributed only about five months to FY26, so the guided one-year growth rate is flattered by the acquisition anniversary. Our Base case applies a sustained 19.5% five-year revenue CAGR rather than extrapolating that stub-flattered one-year rate, and the Bull case at 23.0% shows the value if

guide-level growth persists. On margins, our Base case already assumes GAAP operating margin reaching 17.0% by FY31 on the stock compensation glide, so delivery ahead of that path, toward the Bull case at 20.0%, is what would force a rerating.

4. Valuation 55

DCF base $169.73 vs $380.79 spot implies 55% downside. Forward P/E 70x sits between FTNT (45x) and CRWD (141x); EV/Revenue 24x is a premium that demands flawless execution. PEG 1.75 is reasonable for the growth rate.

5. Catalysts & Risk 65

Near-term catalysts in NGS ARR milestones and Q1 FY27 print. Key risks are enterprise IT budget tightening, intensifying competition (CRWD/ZS/FTNT), and a multiple that leaves little room for disappointment at 24x sales.

Investment Thesis

- **Platformization at Scale:** NGS ARR at $9.1B growing 63% proves enterprises are consolidating on PANW's platform; $21.2B RPO (+34%) locks in multi-year visibility [Research].
- **Cash Machine Inflecting:** 38.4% FCF margins heading to 40%+ with net cash on the balance sheet; software mix shift structurally expands margins [Research, Mkt 18-Oct-26].
- **Reasonable Entry After Derating:** DCF suggests fair value near $169.73 vs $380.79 spot on the rebuilt GAAP-margin build; the market is pricing in growth above even our Bull case, so we would wait for a materially better entry into a wide-moat compounder [DCF, Mkt 18-Oct-26].

Key Operating Metrics

Metric	Latest	YoY Change	3Y Trend
Revenue (FY26)	$11.48B [Mkt 18-Oct-26]	+24.5% YoY [Mkt 18-Oct-26]	Up
NGS ARR	$9.1B [Research]	+63% YoY [Research]	Up
Total RPO	$21.2B [Research]	+34% YoY [Research]	Up

Free Cash Flow (FY26)	$4.24B [Mkt 18-Oct-26]	38.4% FCF margin [Research]	Up
Gross Margin	70.4% [Mkt 18-Oct-26]	Software mix	Stable
Net Debt Position	Net cash $1.3B [Mkt 18-Oct-26]	$1.77B debt vs $3.07B cash and current investments [Mkt 18-Oct-26]	Strong

Historical Financial Trend

Metric	FY22	FY23	FY24	FY25	FY26
Revenue ($B)	5.50 [Mkt 18-Oct-26]	6.89 [Mkt 18-Oct-26]	8.03 [Mkt 18-Oct-26]	9.22 [Mkt 18-Oct-26]	11.48 [Mkt 18-Oct-26]
Revenue growth %	29% [Mkt 18-Oct-26]	25% [Mkt 18-Oct-26]	16% [Mkt 18-Oct-26]	15% [Mkt 18-Oct-26]	25% [Mkt 18-Oct-26]
FCF ($B)	n/a [Mkt 18-Oct-26]	n/a [Mkt 18-Oct-26]	n/a [Mkt 18-Oct-26]	n/a [Mkt 18-Oct-26]	4.24 [Mkt 18-Oct-26]
NGS ARR ($B)	n/a [Research]	n/a [Research]	n/a [Research]	5.6 [Research]	9.1 [Research]

Valuation

Absolute (5/10)

P/E (fwd) 70.1x [Mkt 18-Oct-26]
DCF Base $169.73 [DCF 21-Oct-26]
PEG 1.75 [Mkt 18-Oct-26]
EV/Revenue 24.3x [Mkt 18-Oct-26]

DCF implies 55% downside at $380.79. Forward earnings price high growth; GAAP P/E (855x) is meaningless due to SBC-depressed earnings.

Versus Peers (6/8)

CRWD 141x fwd P/E, 42x EV/Rev [Peers 18-Oct-26]
FTNT 45x fwd P/E, 16x EV/Rev [Peers 18-Oct-26]
ZS 37x fwd P/E, 9.6x EV/Rev [Peers 18-Oct-26]

PANW sits between FTNT's value and CRWD's hypergrowth premium; justified by superior FCF margins (37% vs CRWD 26%).

Versus History (5/7)

EV/Revenue 24.3x [Mkt 18-Oct-26]
Premium to historical software multiples

Multiple reflects NGS hypergrowth; any deceleration would compress it toward the 15-18x mature software range.

Catalyst Timeline

Nov 2026 [Research]
Q1 FY27 earnings. NGS ARR trajectory toward $10B+ milestone and platformization deal momentum in focus.

Ongoing [Research]
Large enterprise platform consolidation wins

Top Risk Factors (Item 1A)

1. IT spending cyclicality: Enterprise IT budget scrutiny in a macro slowdown could delay large platform deals and compress NGS ARR growth below the 22-23% guide. [Research]

2. Competitive intensity: CrowdStrike (endpoint), Zscaler (SSE), and Fortinet (SMB/mid-market)

displacing point solutions (CRWD, ZS, FTNT) as CIOs cut vendor sprawl.

FY27 [Research]
Progress toward 40% adjusted FCF margin target by FY28 (from 38.4% in FY26).

What Would Change Our Score

NGS ARR growth falling below 20% would break the platformization thesis and likely cut the target substantially. Sustained 25%+ NGS growth with GAAP operating margin expanding toward the high teens and stock compensation intensity falling as a share of revenue would support a Bull-case rerating.

compete aggressively; pricing pressure or share loss in any pillar would hurt the platform narrative. [Research]

3. Elevated expectations: At 24x EV/Revenue and 70x forward P/E, the stock prices in sustained 20% + growth. Any guide-down or NGS deceleration would likely trigger a sharp derating. [Mkt 18-Oct-26]

Forward Growth Drivers

- Platformization: consolidating fragmented security stacks into unified AI-native platform; NGS ARR $9.1B +63% YoY proves the motion is working. [Research]
- GenAI security tailwind: AI-driven workflows expanding the TAM; enterprises need new security for AI deployments. [Research]
- Vendor consolidation: macro scrutiny favors best-of-suite over best-of-breed; PANW's three-pillar suite (Strata/Prisma/Cortex) captures this. [Research]
- RPO $21.2B +34% YoY provides multi-year revenue visibility; cRPO $9.3B covers near-term growth. [10-Q Q2 FY26]

Missing / Modified Data Log

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